Global Supply Chain Advisory

Date: June 15, 2025 **From:** VP of Global Supply Chain & Manufacturing **To:** Executive Leadership, FP&A, Inventory Management **Subject:** Severe Aluminum Shortage & Q3 Gross Margin Warning

Situation Overview: Due to sudden geopolitical export restrictions in major bauxite-producing regions combined with a localized port strike, we are experiencing an unprecedented bottleneck in the global supply of raw aluminum.

Financial Impact (Effective July 1 - Sept 30, 2025): Our raw material suppliers have informed us that the cost of raw aluminum will increase by approximately 2.5x effective July 1st. Because we have existing MAP (Minimum Advertised Price) commitments and distributor contracts, we cannot pass these price increases on to the customer in the short term.

Forecasting Adjustments:

- **Revenue:** Top-line Gross and Net Revenue will remain unaffected as consumer demand remains highly stable.
- **Cost of Goods Sold (COGS):** Total COGS will skyrocket across all manufacturing divisions.
- **Gross Margin:** You will see a significant, unavoidable dip in our True Gross Margins for the entirety of **Q3 2025** (July, August, and September).
- **Affected Products:** This margin compression will severely impact our Aluminum-heavy product lines, specifically **Bicycles** (Category 100) and **Tents / Tent Poles** (Category 400).

Supply chain stabilization protocols have been initiated, and we expect raw material costs to normalize to their standard baseline by October 1st, 2025.